

Driving economic and social development across Asia since 1919



1919

AIA put down its corporate roots in Asia when the group founder Mr. Cornelius Vander Starr established an insurance agency in Shanghai.



1921

Mr. Cornelius Vander Starr founded Asia Life Insurance Company, his first life insurance enterprise in Shanghai.

1931

Mr. Cornelius Vander Starr founded International Assurance Company, Limited (INTASCO), in Shanghai.

INTASCO established branch offices in Hong Kong and Singapore.

1947

The Philippine American Life and General Insurance Company (Philam Life) was founded in the Philippines.

INTASCO moved its head office to Hong Kong.

1948

INTASCO changed its name to American International Assurance Company, Limited.

1992

We re-established our presence in China through a branch office in Shanghai, the first foreign-owned life business to receive a licence in the country.

1998

We celebrated the return to our former headquarters building on The Bund in Shanghai.

2009

We completed the reorganisation driven by AIG's liquidity crisis in 2008, leading to the positioning of the Company for a public listing.

2010

AIA Group Limited successfully listed on the Main Board of The Stock Exchange of Hong Kong Limited, the third-largest IPO ever globally at the time.



2011

AIA Group Limited became a constituent stock of the Hang Seng Index.

We launched a sponsored Level 1 American Depositary Receipt programme.

2013

AIA completed the full integration of the businesses of AIA and ING Malaysia.

We commenced business in Sri Lanka through the acquisition of Aviva NDB Insurance.

2014

AIA and Citibank formed a landmark, long-term and exclusive bancassurance partnership that encompasses 11 markets in the Asia-Pacific region.

AIA became the Official Shirt Partner of Tottenham Hotspur Football Club to promote the role of sports as a key element of healthy living.

2015

AIA became the #1 MDRT company in the world.



MDRT®

2016

The AIA Leadership Centre opened in Bangkok.

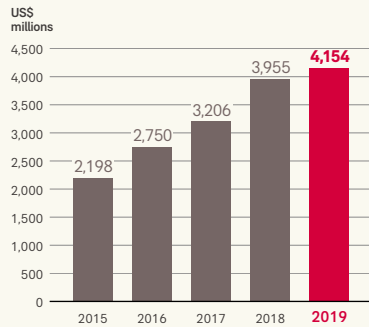
We increased AIA Group's stake in Tata AIA Life Insurance Company Limited, a joint venture in India, from 26 per cent to 49 per cent.

2017

AIA presented the Hong Kong Observation Wheel and the AIA Vitality Park.

2018

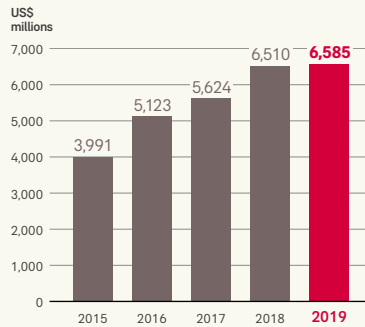
AIA launched new brand promise: Healthier, Longer, Better Lives

2019 RESULTS AT-A-GLANCE⁽¹⁾VALUE OF NEW BUSINESS⁽²⁾⁽⁸⁾**+6%**

YoY (CER)

+5%

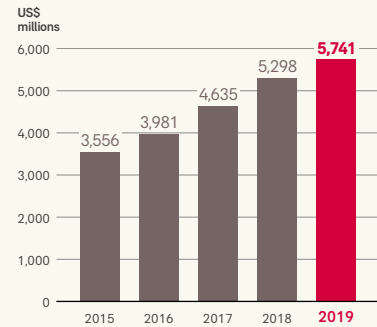
YoY (AER)

ANNUALISED NEW PREMIUMS⁽³⁾⁽⁸⁾**+2%**

YoY (CER)

+1%

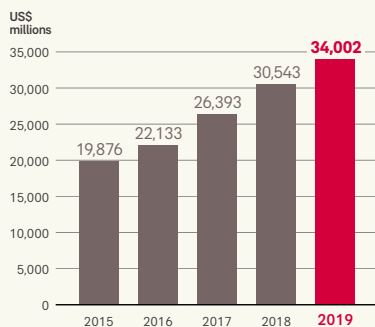
YoY (AER)

OPERATING PROFIT AFTER TAX⁽⁴⁾**+9%**

YoY (CER)

+8%

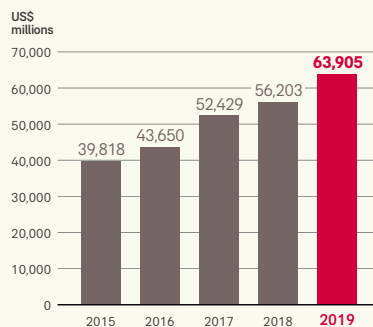
YoY (AER)

TOTAL WEIGHTED PREMIUM INCOME⁽⁵⁾**+13%**

YoY (CER)

+11%

YoY (AER)

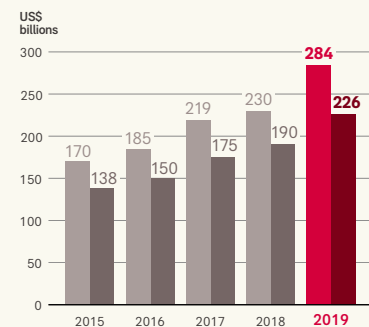
EV EQUITY⁽⁶⁾**+12%**

YoY (CER)

+14%

YoY (AER)

TOTAL ASSETS AND TOTAL LIABILITIES

**+24%**

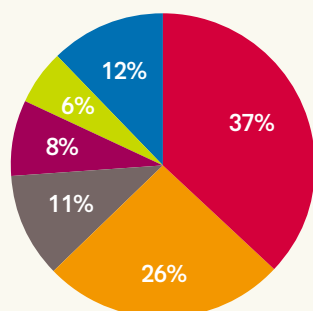
TOTAL ASSETS

+19%

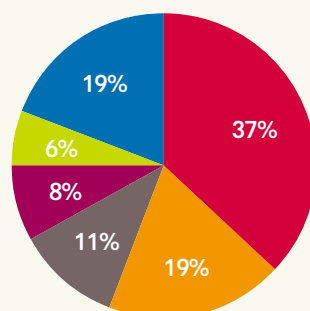
TOTAL LIABILITIES

2019 BREAKDOWN BY MARKET SEGMENT

VALUE OF NEW BUSINESS ⁽²⁾⁽⁷⁾

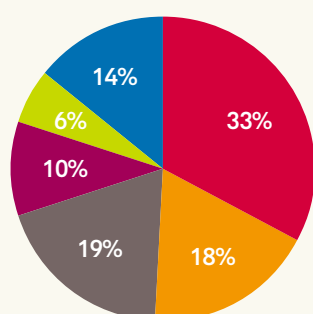


ANNUALISED NEW PREMIUMS ⁽³⁾

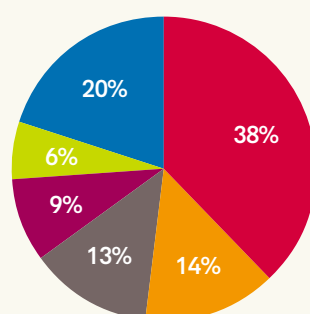


■ Hong Kong
■ Mainland China
■ Thailand
■ Singapore
■ Malaysia
■ Other Markets ⁽⁸⁾

OPERATING PROFIT AFTER TAX ⁽⁴⁾



TOTAL WEIGHTED PREMIUM INCOME ⁽⁵⁾



Notes:

- (1) The financial information from 2017 to 2019 is presented on the 31 December financial year-end basis. The financial information from 2015 to 2016 is presented on the 30 November financial year-end basis. For clarity, the growth rates are presented on the 31 December financial year-end basis.
- (2) Value of new business (VONB) is the present value, measured at the point of sale, of projected after-tax statutory profits emerging in the future from new business sold in the period less the cost of holding the required capital in excess of regulatory reserves to support this business.
- (3) Annualised new premiums (ANP) is a measure of new business activity that is calculated as the sum of 100 per cent of annualised first year premiums and 10 per cent of single premiums, before reinsurance ceded.
- (4) Operating profit after tax (OPAT) is shown after non-controlling interests.
- (5) Total weighted premium income (TWPI) consists of 100 per cent of renewal premiums, 100 per cent of first year premiums and 10 per cent of single premiums, before reinsurance ceded.
- (6) Embedded value (EV) is an actuarially determined estimate of the economic value of a life insurance business based on a particular set of assumptions as to future experience, excluding any economic value attributable to future new business. EV Equity is the total of embedded value, goodwill and other intangible assets.
- (7) Based on local statutory basis, before unallocated Group Office expenses and deduction of the amount attributable to non-controlling interests, VONB by segment includes pension business.
- (8) In 2019, ANP and VONB for Other Markets include 49 per cent of the results from our joint venture in India, Tata AIA Life Insurance Company Limited (Tata AIA Life), to reflect our shareholding. ANP and VONB for 2018 and before have not been restated and do not include any contribution from Tata AIA Life. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests. VONB for 2018 and before have not been restated and are reported before deducting the amount attributable to non-controlling interests, as previously disclosed. The IFRS results of Tata AIA Life are accounted for using the equity method. The results of Tata AIA Life are accounted for on a one quarter lag basis in AIA's consolidated results. For clarity, TWPI does not include any contribution from Tata AIA Life.

NEW BUSINESS PERFORMANCE

VONB, ANP and Margin by Segment

	2019			2018			VONB Change	
US\$ millions, unless otherwise stated	VONB	VONB Margin	ANP	VONB	VONB Margin	ANP	YoY CER	YoY AER
Hong Kong	1,621	66.1%	2,393	1,712	62.0%	2,697	(5)%	(5)%
Thailand	494	67.7%	729	447	73.1%	611	6%	11%
Singapore	352	65.5%	538	357	65.4%	547	–	(1)%
Malaysia	258	63.1%	406	247	63.8%	382	7%	4%
Mainland China	1,167	93.5%	1,248	965	90.5%	1,067	27%	21%
Other Markets ⁽¹⁾	535	41.9%	1,271	435	35.8%	1,206	27%	23%
Subtotal	4,427	66.6%	6,585	4,163	63.2%	6,510	8%	6%
Adjustment to reflect consolidated reserving and capital requirements	(87)	n/m	n/m	(56)	n/m	n/m	n/m	n/m
After-tax value of unallocated Group Office expenses	(154)	n/m	n/m	(152)	n/m	n/m	n/m	n/m
Total before non-controlling interests	4,186	62.9%	6,585	3,955	60.0%	6,510	7%	6%
Non-controlling interests ⁽¹⁾	(32)	n/m	n/m	–	n/m	n/m	n/m	n/m
Total	4,154	62.9%	6,585	3,955	60.0%	6,510	6%	5%

Note:

(1) In 2019, ANP and VONB for Other Markets include 49 per cent of the results from Tata AIA Life Insurance Company Limited (Tata AIA Life) to reflect our shareholding. The contribution to ANP and VONB amount to US\$182 million and US\$38 million respectively. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests of US\$32 million. For 2018, neither ANP nor VONB have been restated and they do not include any contribution from Tata AIA Life or deduct the amount attributable to non-controlling interests. As disclosed in our Annual Report 2018, the VONB attributable to non-controlling interests for 2018 is US\$27 million.

VONB grew by 6 per cent to US\$4,154 million in 2019 as very strong growth in Mainland China and Other Markets was largely offset by a 5 per cent decline in Hong Kong where the social unrest in the second half of 2019 drove a substantial decline in the Mainland Chinese visitor customer segment.

ANP increased by 2 per cent to US\$6,585 million and VONB margin increased by 3.0 pps to 62.9 per cent. PVNBP margin increased to 11 per cent from 10 per cent in 2018. Despite the lower interest rate environment in the second half of 2019, both VONB margin and PVNBP margin improved in 2019, supported by the enhanced profitability in our long-term savings and protection products in Hong Kong and the positive effect of a tax rule change that increased the tax deductibility of commissions in Mainland China.

Agency distribution accounted for 74 per cent of the Group's total VONB. The consistent execution of our Premier Agency strategy helped generate 11 per cent VONB growth to US\$3,243 million and a 5 per cent increase in the number of active agents. Partnership distribution VONB reduced by 1 per cent to US\$1,142 million. Strong growth from our bancassurance channel was offset by the significant decline in new business from the Hong Kong retail IFA channel in the second half of 2019, reflecting the reduction in visitor arrivals and increased competition.

Excluding Hong Kong, the Group's total VONB grew strongly at 16 per cent compared to 2018. Also excluding Hong Kong, VONB from the Group's agency distribution grew at 16 per cent and VONB from partnership distribution increased by 19 per cent.

Hong Kong reported a 5 per cent reduction in VONB in 2019. Double-digit growth in VONB from our domestic customer segment was more than offset by a substantial decline in VONB from the Mainland Chinese visitor customer segment, which broadly tracked the reduction in visitor arrivals from Mainland China, as reported by the Hong Kong Tourism Board, in the second half of 2019. VONB margin increased by 4.1 pps to 66.1 per cent, mainly driven by enhanced profitability in our long-term savings and protection products.

Mainland China delivered very strong VONB growth of 27 per cent to US\$1,167 million. Our Premier Agency strategy supported double-digit growth in active agents and further improvements in productivity. VONB margin increased by 3.1 pps to 93.5 per cent, as the positive effect of the tax rule change previously mentioned was partly offset by the impact of enhanced policyholder benefits within our protection products.

Thailand continued to benefit from strong progress in both our Financial Adviser (FA) programme and our exclusive partnership with Bangkok Bank Public Company Limited (Bangkok Bank), and reported overall VONB growth of 6 per cent to US\$494 million in 2019. VONB margin decreased to 67.7 per cent mainly as a result of a higher proportion of bancassurance business.

VONB in Singapore remained stable at US\$352 million in 2019 as growth in regular premium sales was offset by lower single premium sales in our partnership distribution channel.

Malaysia achieved VONB growth of 7 per cent to US\$258 million in 2019, supported by increased sales in both agency and in-branch bancassurance channels.

Other Markets reported very strong VONB growth of 27 per cent to US\$535 million led by Australia, the Philippines and Vietnam.

The VONB results for the Group in 2019 are reported after a deduction of US\$273 million for the consolidation reserving and capital requirements over and above local statutory requirements, the present value of unallocated Group Office expenses and VONB attributable to non-controlling interests.

In 2019, ANP and VONB for Other Markets include 49 per cent of the results from Tata AIA Life to reflect our shareholding. The contribution to ANP and VONB amount to US\$182 million and US\$38 million respectively. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests of US\$32 million. For 2018, neither ANP nor VONB have been restated and they do not include any contribution from Tata AIA Life or deduct the amount attributable to non-controlling interests. As disclosed in our Annual Report 2018, the VONB attributable to non-controlling interests for 2018 is US\$27 million.